Gleanwell

Executive Summary

Gleanwell: Connecting Small Farms and Restaurants With Seconds Produce

Problem

Food waste is a huge problem in the United States and around the world. Alot of this waste happens at the farm level. Small farms grow produce and some of it comes out as what is called seconds, meaning it is not perfect looking, it is to ripe, it is to small or to big, or it has a blemish. Grocery stores and farmers markets dont want seconds so the farmers has nowhere to sell them. Many small farms is also very busy and does not have time to call around to restaurants or canneries to find a buyer. So the seconds produce goes to waste or gets composted or left in the field. This is a loss of money for the farmer and a loss of food for the world. At the same time, restaurants have rising ingredient costs and chefs are always looking for lower cost ingredients especially for soups, sauces, stocks and specials where the looks of the produce does not matter. Canneries and preservers also need large amounts of produce at low price. So there is a problem on both sides that nobody is connecting. The farmer has produce and no buyer, the chef needs produce and has no cheap source.

Solution

Gleanwell is a app that solve this problem by connecting small farms with seconds produce to nearby restaurants and canneries. The farmer opens the app and posts a listing of what they have, for example forty pounds of tomatoes that are very ripe, with a price and a pickup window. Chefs and cannery buyers near the farm get notified and can browse listings, claim what they want, and arrange pickup or delivery. Our platform is a win win for everyone. Farms earn money from produce that would of been wasted, chefs get lower cost ingredients, and the environment benefits from less waste. We also are building a data and analytics layer that will use the listing data to help farmers predict how much surplus they will have and to price there seconds better over time. We beleive this data will become a very valuable asset for the whole food supply chain and gives Gleanwell a strong moat.

Market

The market for our product is very large. There are thousands of small farms in the United States and tens of thousands of restaurants and many canneries. Food waste is a multi billion dollar problem. If we only capture a small percent of this market it would be a very big business. Our target customers are first small farms within a short drive of a city and second restaurants and canneries in that same area. We will start local in one region and then expand region by region as we grow. We think the farm to restaurant trend and the growing interest in sustainability and local food is a big tailwind for us. Consumers care more and more about waste and chefs like to say they source local, so our app fits perfect into this trend.

Business Model

Our business model is a marketplace model. We plan to take a commission on each transaction that happens on the platform, probably something like ten to fifteen percent, but we are still figuring out the right number. We may also later charge a subscription fee for the premium analytics features for farms and for restaurants who want priority access to listings. Another possible revenue stream is selling the data and insights to other companies in the food industry. We have not yet tested what price farmers and chefs are willing to pay so these numbers is an estimate and will be validated as we get more users. Our costs include building and maintaining the app, hosting, marketing to farms and restaurants, and someone to manage logistics and onboarding. We believe that as the network grows the cost to acquire each new user will go down because of network effects.

Competition

The space of food waste and food marketplaces is crowded and there is many players. There are other apps that sell surplus food to consumers, there are food rescue nonprofits and food banks that take donations from farms, there are wholesale produce distributors and brokers, and there are farm to restaurant ordering platforms. Some of these overlap with what we do. However we think Gleanwell is different because we focus only on seconds produce from small farms and we connect directly to restaurants and canneries, not to consumers, and because of our data and analytics layer. Other competitors dont focus on small farms who is underserved. Our advantage is that we is a nimble startup that is close to the local community and understand both sides of the market. We know that larger players could enter our space but we think we can move faster and build relationships first.

Team

Our team is three students at our university. Dalton Verhaegen is the CEO and leads business development and strategy and is studying business and has worked at a restaurant and so understands chef needs. Priyanka Oyelaran-Webb is the CTO and leads the app development and data and she is studying computer science and has built several apps for class projects. Marcus Teodorescu is responsible for operations and farm relationships and grew up around a family farm and so knows the problems of small farms firsthand. Together we have the passion, the skills and the vision to make Gleanwell succeed. We are very commited to this idea and willing to work hard.

Milestones and Financials

So far we have reached two important milestones. First we have defined our core business concept, including who our customers are and how the app would work. Second we have got our first external users on the product, which are a small number of farms and a few restaurants who have tried the app. We also have a website. We have not formed our legal entity yet but plan to do so soon, probably as an LLC or maybe a C corp, we are still deciding. We have not generated any significant revenue yet and so far the work has been paid by ourselves with our own time. For the next year we expect costs for development, hosting, marketing, and a part time hire for logistics. We project that in year one we will have a small number of transactions, then grow quickly in year two and three as we expand to more regions and add the analytics subscription. We think we could reach profitability in about three years but this depend on how fast we grow the network. Our financial projections is still early and we plan to refine them with the feedback from the competition and mentors.

What We Ask For

We are applying to this business plan competition for several reasons. First we hope to win prize funding which we would use to form our legal entity, improve the app, and run a bigger pilot with more farms and restaurants in our region. Second we would like mentorship from experienced entrepreneurs and judges who can help us with our business model, pricing, and how to scale. Third we want connections to potential investors, farm and restaurant partners, and other resources in the food industry. We belive that with the right support Gleanwell can grow into a major player in the food and beverage space and make a real impact on food waste while helping farms and chefs. Thank you for considering our application and we look forward to the opportunity to pitch to you.